

Marvell Technology, Inc.

MRVL NASDAQ

Buy	\$174.41 ▼ 7.80%	12M Price Target \$220.00	52-Week Range \$61.44 – \$329.88	Market Cap \$156.58B
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MRVL: AI Chip Sell-Off Overdone, Policy Wind Still at Back

WHAT HAPPENED

- MRVL got hammered -7.8% today, down ~17% in a week. This isn't company-specific news — it's a broader AI chip sell-off. Micron and SK Hynix (memory chip makers) got crushed too, which tells me the market is suddenly worried that hyperscalers (Amazon, Google, Meta, Microsoft — the big cloud guys who buy tons of AI chips) might be pulling back on spending.
- No SEC filings, no insider selling, no bad earnings from MRVL itself. That's important — this is sentiment/rotation, not a broken thesis. Options flow is still bullish (put/call ratio of 0.54 means way more bullish bets than bearish ones), and someone just bought 2,801 call contracts at \$180 strike — a big bet the stock bounces back fast.

WHY IT MATTERS

Here's what I think is really going on: the AI trade got extended, valuations got stretched, and now any whiff of "maybe capex slows down" triggers a violent unwind. But MRVL's actual business — designing custom AI chips for Amazon (Trainium), plus optical networking gear that connects data centers — is still tied to multi-year contracts that don't just evaporate in a week. The sell-off is probably 70% profit-taking and rotation into defensive sectors (notice Consumer Staples +3.9%, Healthcare +2.6% — that's classic "risk-off" money flow), and 30% legitimate concern about AI ROI. What to watch: if hyperscalers reaffirm capex on their upcoming earnings calls (META, GOOGL, MSFT report in the next 2 weeks), this dip is a gift. If they guide capex DOWN, we're going lower.

POLICY & POLITICAL WATCH

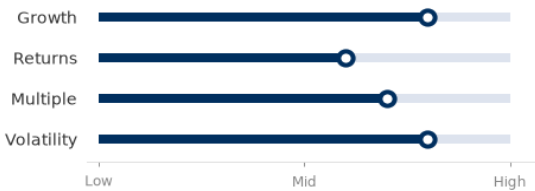
The big one is CHIPS Act 2.0 discussions and ongoing export controls on advanced chips to China — MRVL has been navigating this for years and it's mostly a tailwind since it pushes hyperscalers toward US-designed custom silicon (MRVL's specialty). The Trump administration's AI Action Plan (rolled out earlier this year) explicitly prioritizes US-designed AI infrastructure, which benefits MRVL's custom ASIC business. Watch for any expansion of Section 232 tariffs on semiconductors — Commerce has been mulling this for months, and while it might raise costs short-term, it structurally protects US chip designers like MRVL from Asian competition.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$174.41
12M Price Target	\$220.00
Upside / (Downside)	+26.1%
Market Cap	\$156.58B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,500M
FY2026E EPS	\$2.85
FY2027E EPS	\$4.10
Fwd P/E	61.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$200.00	\$180.00	\$155.00
6 Months	\$230.00	\$200.00	\$150.00
1 Year	\$275.00	\$220.00	\$140.00
2 Years	\$340.00	\$260.00	\$130.00
5 Years	\$500.00	\$350.00	\$120.00
10 Years	\$800.00	\$500.00	\$100.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples (+3.9%), Healthcare (+2.6%), Materials (+2.2%) — this is textbook defensive rotation. Money is fleeing high-multiple growth for boring, cash-flowing businesses. This usually happens when investors get scared about growth stock valuations.

COOLING OFF: Semiconductors and AI infrastructure names broadly. The sell-off in Micron, SK Hynix, and now MRVL suggests the "AI trade" is being questioned as a group, not individually.

ROTATION WATCH: Classic risk-off day. Money is rotating from expensive growth (AI/semis) to defensive sectors. These rotations typically last 2-6 weeks before reversing — the question is whether earnings from hyperscalers confirms or refutes the "AI capex slowing" fear.

RELATED PLAY: If MRVL is oversold, so is the whole AI infrastructure chain. Broadcom (AVGO) is the direct competitor and higher quality; Credo Technology (CRDO) is the smaller, higher-beta version of MRVL's optical business. Data center REITs like DLR also get dragged down unfairly on these days.

WHO'S WINNING IN THIS SPACE?

- KO (Coca-Cola): Classic defensive winner on risk-off day — investors want boring, reliable dividends when growth gets scary.
- UPS (United Parcel Service): Cyclical recovery play; when money leaves tech, it flows to industrial names with reasonable valuations.

MRVL CONTEXT: MRVL is LAGGING even the semiconductor group today (down more than Micron/SK Hynix in percentage terms this week). That's actually a bullish setup — it means MRVL is being sold indiscriminately in the AI unwind, not because of anything specific to Marvell. When the sector bounces, the most oversold names typically bounce hardest.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$165-175 on continued sell-off

Time Horizon: 12-24 months

Thesis Invalidation: Loss of AWS/Trainium custom silicon deal or hyperscaler capex guidance cut >15%

Hedging: Small put position or pair with a short on a more expensive AI name like ARM